

LIMONEIRA CO LMNR

December 14, 2025 - 7:32pm EST

by

Ignobiliums

			2025	2026
Price:	14.91	EPS	-0.91	0.93
Shares Out. (in M):	18	P/E	-16.5	16.0
Market Cap (in \$M):	266	P/FCF	-22.3	6.1
Net Debt (in \$M):	72	EBIT	-16	26
TEV (in \$M):	338	TEV/EBIT	-21.8	12.9

Description

Limoneira ("Limoneira", "LMNR", or the "Company") was most recently written up as a long by DO EM GO in April last year and the stock performance has been underwhelming since (largely due to a disappointing strategic review and continued weakness in the lemon business). However, I think it's potentially interesting here at ~\$14.91 (down from a peak of ~\$28) given: 1) a seemingly decent amount of downside protection (~\$30+ per share NAV, possible M&A call option), 2) potential cyclical recovery in the lemon business (e.g., per-carton pricing in the low-\$20s in August and management guiding to ~\$20+ next year) alongside an additional ~\$7M+ of incremental EBITDA from the recently announced Sunkist partnership, 3) structural growth of the avocado business as full-bearing avocado acres increase ~2.7x over the next several years (potential ~\$30-\$40M+ incremental EBITDA given ~\$20K+ EBITDA per acre vs ~\$2-\$5K for lemons), 4) possible cyclical recovery in avocado volumes in FY 2026 given the biannual nature of the crop (management's initial qualitative guide for ~flat y/y total avocado volume next year seems conservative given that it would imply a further ~13%+ decline in pounds per full-bearing acre on top of what will end up being close to a ~54%+ decline this year, and 5) additional debt paydown from ~\$155M+ of cash distributions from the Harvest at Limoneira JV development over the next 5 years. If all/most of this hits, I think total EBITDA could be ~\$36M+ next year vs Street's ~\$13M, which could drive a re-rating in the stock to ~\$30+.

Executive Summary

Limoneira is an interesting long at \$14.91. While the stock has disappointed recently with deflated M&A hopes and depressed agribusiness EBITDA, it is now poised to outperform as the lemon business improves, avocado volumes ramp, and the Company monetizes a portion of its asset value. Moreover, it is possible that Peter Nolan's presence on the board (previously ran Leonard Green for multiple years) and ~6% ownership stake (alongside Global Alpha's ~18%) will catalyze a faster realization of value.

Between the combination of cyclically-improved lemon prices, the Sunkist and Agromin partnerships, and continued improvement in the third-party packing business, I believe that aggregate lemon EBITDA will increase ~\$20M+ over the next few years. Additionally, as full-bearing avocado acres increase from ~750 to ~2,000 by FY 2030 at an average EBITDA per acre of ~\$20-\$25K, avocado EBITDA should increase ~\$40M+. Together, these improvements should grow total agribusinesses EBITDA by ~\$60M+, which at 10x equates to ~\$600M+ of value creation versus the current ~\$338M TEV. Furthermore, with ~10,500 acres of owned land and ~20,000+ acre-feet of water rights, there is substantial hidden asset value that the Company is in the process of monetizing. Specifically, at a 15% discount rate I estimate the total present value of the Harvest development cash distributions, Limco Del Mar development, Yuma, AZ fallowing program, Santa Paula and AZ water monetization, and the sale of the Windfall, Chilean, and Argentinian assets to be approximately ~\$315M. Combined with the discounted value of the operating business, I see fair value of ~\$29.55 or +98% upside. Conversely, in a risk case with minimal improvement to agribusiness EBITDA at 7x while haircutting the asset value by ~30%, equates to a downside of ~\$10.33 (-31% versus current) for an attractive ~3.2x risk-reward. Lastly, the downside is likely protected at \$14.91 given an estimated NAV of ~\$30+ and an M&A call option; and there is also a homerun outcome as well (e.g., ~3,000+ developable acres at ~\$1M+ per acre implies a total undiscounted potential development value of ~\$3B+).

Business Overview

Founded in 1893, Limoneira is a vertically-integrated agribusiness and real estate developer based in Santa Paula, CA. It is one of the oldest and largest citrus growers on the West Coast. It operates three main businesses: agribusiness, rental operations (predominantly housing for agricultural workers), and real estate development. Agribusiness is further segmented between fresh lemons, lemon packing, avocados, and other agribusiness (e.g., oranges, specialty citrus and wine grapes, farm management, and other). Lemons, avocados, other agribusiness, and rental operations constitute ~79%, ~8%, ~10%, and ~3% of total net revenue, respectively. Within the lemon segment, Limoneira generates revenue via the sale of fresh lemons (both lemons they grow as well as lemons they source from third-party growers) and via lemon packing (at ~\$2 EBITDA per carton). Approximately ~2/3 of its lemons are sold into the U.S. market with ~70% sold to foodservice customers. The Company has been shifting to a greater percentage of third-party lemons such that third-party lemons are now ~80%+ of cartons sold versus ~50% a few years ago. The majority of lemon EBITDA has historically been driven by packing as the fresh lemon business has generally proven to be uneconomic through cycles. Limoneira is also in the process of mix-shifting its agribusiness towards avocados given better through-cycle profitability (~\$20K+ EBITDA per acre).

Limoneira has substantial assets with ~10,500 acres of owned land and ~20,000+ acre-feet of water rights. The Company's primary real estate development is the Harvest at Limoneira JV with the Lewis Group. Harvest at Limoneira is a ~550-acre (previously owned by LMNR) development of ~2,050 single- and multi-family residential units along with a medical campus. Each JV partner has contributed ~\$22M of cash to date and Limoneira expects to receive cumulative cash distributions of ~\$200M+ (with ~\$155M+ remaining through 2030). In addition to Harvest, LMNR is exploring a ~220-acre development at Limco Del Mar. It also owns a ~700-acre vineyard (Windfall Farms) as well as various assets in Chile and Argentina that it believes it can collectively monetize for ~\$55M+.

Industry Overview

10x, this would equate to an incremental ~\$14.34 of value per share. Lastly, there is potential upside to avocado pricing as the U.S. has stated that it will not import avocados from illegal plantations in Michoacán, Mexico, which constitutes ~1/3 of total Mexican imports.

Value accretion from lemon-to-avocado conversion		
Current harvested lemon acres		1,600
EBITDA per acre uplift		\$16,000
Implied EBITDA uplift		25.6
Capitalized value at 10x		256.0
Implied incr value per share		\$14.34

Upside to lemon business from market improvement, the Sunkist and Agromin partnerships, and third-party growth

The fresh lemon business has oscillated from minor profitability to losses over the last few years as the U.S. lemon market has been oversupplied and realized pricing has declined below ~\$20 per carton. Thus, it is possible that LMNR's lemon business is currently at a cyclical low (~70% fresh utilization) and could improve alongside pricing as the market rationalizes and smaller players exit the industry (e.g., Limoneira noted prices greater than ~\$20 per carton in August on their Q3 2025 earnings call and expects pricing to be \$20+ per carton in FY 2026 as the market tightens [Spain/Turkey at supply deficits, international volumes being diverted away from the U.S. due to tariffs, etc.]). Illustratively, I estimate that every \$1 increase in lemon pricing drives an incremental ~\$2.3M of lemon EBITDA (or +8.6% versus my base-case FY 2026 agribusiness EBITDA estimate).

The Company is also structurally improving its lemon business by increasing the percentage of third-party cartons (currently ~80%) and reducing the asset intensity. As a greater volume of third-party lemons is serviced by LMNR's packing facility, the cyclicity of the business will decline as Limoneira's packing business generates a flat fee of ~\$2 EBITDA per carton. Moreover, this packing profitability should increase alongside utilization (LMNR's packing facility has capacity for ~7M cartons annually versus current volume of ~4.5-5M). The Sunkist partnership (described below) should also help grow the volume of third-party cartons that are serviced by Limoneira's packing business.

Lastly, beginning Q1 2026, Limoneira is joining the Sunkist partnership and offloading its lemon brokerage revenue and cost base. This will remove costs and generate ~\$5-\$7M+ of incremental EBITDA. Specifically, LMNR is effectively offloading its sales and marketing costs to Sunkist (converting them to a fixed fee), while also benefiting from the use of the partnership's storage and washing assets. Sunkist should also broaden Limoneira's customer base to larger foodservice customers that they weren't able to serve previously (due to the lack of a full fruit portfolio, distribution, etc.). Additionally, the Company is also partnering with Agromin to produce organic rich compost, which it expects will contribute ~\$5.5M+ of EBITDA. Combined, cyclical improvement alongside the Sunkist/Agromin partnerships and third-party growth should result in ~\$20M+ of incremental EBITDA from the lemon business over the next ~2-3 years.

Potential capital return from asset sales and JV cash distributions

In recognition of the Company's substantial (and undervalued) assets, management is in the process of monetizing both development and non-core assets to generate shareholder value. The Harvest development is expected to generate ~\$155M+ of cash distributions through 2030, while the Limco Del Mar development is estimated to generate ~\$200-\$250M+ from 2030-2040. In addition, the Company expects to increase the number of fallowed acres in Yuma, AZ next year from ~600 currently to ~1,300 as water allocations from the Colorado River are reduced. At a ~30% higher revenue per fallowed acre this could result in ~\$47M+ of value. Lastly, LMNR expects to monetize water rights in Santa Paula and Arizona, as well as the Windfall/Chilean/Argentinian assets for a combined ~\$125M (~\$100M present value at 15%). This nets to a total present value of approximately ~\$315M or ~\$17.62 per share, and should also result in an inflection in cashflow that could be used for possible capital return. As an example, if LMNR can source agricultural acreage for avocado growing at ~\$20-\$30K per acre, this suggests an attractive ROI with the avocado business yielding ~\$20K+ EBITDA per acre at maturity.

Activist shareholder presence with M&A call option

Peter Nolan bought a ~6% ownership stake in 2023 (alongside Global Alpha's ~18%) and is currently on the board. Likely partly due to his involvement, the Company initiated a strategic review in 2024 that caused the stock to increase towards ~\$30. It then subsequently declined when the strategic review concluded earlier this year without a sale. Regardless, Nolan's involvement and background seem to increase the probability of asset-value realization and responsible capital allocation. And it also seems like there is potentially an M&A call option that should protect the downside.

Asymmetric risk-reward with significant upside and downside protection

Valuing the agribusiness at 10x the average of my base-case FY 2030/2031 EBITDA of ~\$57M (given the biannual nature of avocado growing) suggests long-term fair value of ~\$570M+. Discounting back at 15% implies a present value of ~\$285M. Adding ~\$100M, ~\$67M, ~\$47M and ~\$100M for the present value of Harvest, Limco Del Mar, Yuma fallowing, and Windfall/Chilean/Argentinian assets equates to a total current fair value of ~\$530M+. This implies upside to ~\$29.55+ or +98% from the current price. Conversely, in a risk case with minimal improvement to agribusiness EBITDA while haircutting the asset value by ~30%, suggests downside to ~\$10.33 (-31% versus current) for an attractive ~3.2x risk-reward. Lastly, it seems like there is a reasonable amount of downside protection at \$14.91 given an estimated NAV of ~\$30+ and the M&A call option; and there is also a homerun outcome as well (e.g., ~3,000+ developable acres at ~\$1M+ per acre implies total undiscounted potential development value of ~\$3B+).

Catalyst rich with a cyclically-depressed stock

A LMNR long at \$14.91 seems especially interesting because it is potentially at the cusp of a significant EBITDA inflection both as a function of cyclical improvement in the lemon business (e.g., management guiding FY 2026 pricing of \$20+ per carton) as well as the structural improvements the Company has been making. In addition, despite management guiding for ~flat avocado volumes in FY 2026, the biannual nature of avocado growing suggests there should be a rebound next year (total avocado volumes declined ~50%+ in FY 2025). Moreover, LMNR should have ~15%+ additional full-bearing avocado acres in FY 2026, so ~flat y/y avocado volume implies a further ~13%+ decline in pounds per full-bearing acre on top of the ~54.5% they will end up realizing in FY 2025.

This doesn't make much sense to me given the 'alternating-year' nature of the harvest (i.e., good years tend to follow bad years). Illustratively, if the Company realizes ~20.5K pounds of avocados per full-bearing acre in FY 2026 (which would be directionally equivalent to the performance in FY 2024), the avocado business alone could generate close to ~\$17M+ of incremental EBITDA y/y. Note that this compares to Street estimates of just ~\$11.8M total incremental EBITDA y/y in FY 2026.

The inflection in agribusiness EBITDA coupled with potential asset monetization and cash distributions (along with a depressed share price) makes LMNR a compelling investment in both the near- and long-term (e.g., my base-case FY 2026 total adjusted EBITDA is ~\$36M versus Street estimates of ~\$13M).

Valuation and Risk-Reward

Limoneira summary							
(\$ in millions)							
	FY 2024	Base Case					
		FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
Revenue	191.5	148.9	178.9	177.4	199.4	198.0	228.3
y/y change %		(22.3%)	20.2%	(0.9%)	12.4%	(0.7%)	15.3%
Reported EBIT	(6.2)	(19.8)	16.4	13.0	30.6	27.8	52.7
margin %	(3.2%)	(13.3%)	9.1%	7.3%	15.3%	14.1%	23.1%
Agribusiness EBITDA	2.2	(10.7)	26.3	23.0	40.5	37.8	62.6
margin %	1.1%	(7.2%)	14.7%	12.9%	20.3%	19.1%	27.4%
Total adj EBITDA	26.7	(6.4)	36.2	50.4	75.0	53.2	98.1
margin %	14.0%	(4.3%)	20.3%	28.4%	37.6%	26.9%	43.0%
Diluted EPS	\$0.41	(\$0.91)	\$0.93	\$1.59	\$2.72	\$1.89	\$3.85
Valuation							
Price	\$14.91	\$14.91	\$14.91	\$14.91	\$14.91	\$14.91	\$14.91
FDSO	17.9	17.8	18.0	18.2	18.4	18.6	18.9
Equity	266.2	266.1	268.9	271.9	275.0	278.0	281.1
Debt	63.4	63.4	63.4	63.4	63.4	63.4	63.4
Preferred	10.8	10.8	10.8	10.8	10.8	10.8	10.8
Cash	(2.1)	(5.4)	(42.9)	(92.5)	(163.2)	(218.9)	(312.0)
TEV	338.3	334.8	300.2	253.6	186.0	133.3	43.3
TEV / agri. EBITDA		(31.2x)	11.4x	11.0x	4.6x	3.5x	0.7x
TEV / total adj. EBITDA		(52.4x)	8.3x	5.0x	2.5x	2.5x	0.4x
P/E		(16.5x)	16.0x	9.4x	5.5x	7.9x	3.9x
P/E ex cash		(16.5x)	16.0x	8.7x	3.7x	3.8x	0.6x

Base case fair value		Risk case fair value	
PV FY30E TEV at 15%	285.1	PV FY30E TEV at 15%	36.2
Harvest PV	100.0	Harvest PV	70.0
Limco Del Mar PV	67.3	Limco Del Mar PV	47.1
Yuma, AZ following PV	47.3	Yuma, AZ following PV	33.1
Other asset value PV	99.9	Other asset value PV	69.9
Total TEV fair value	599.7	Total TEV fair value	256.4
Debt	(63.4)	Debt	(63.4)
Preferred	(10.8)	Preferred	(10.8)
Cash	2.1	Cash	2.1
Equity fair value	527.7	Equity fair value	184.4
Fair value per share	\$29.55	Fair value per share	\$10.33
% change vs current	95.2%	% change vs current	(30.7%)

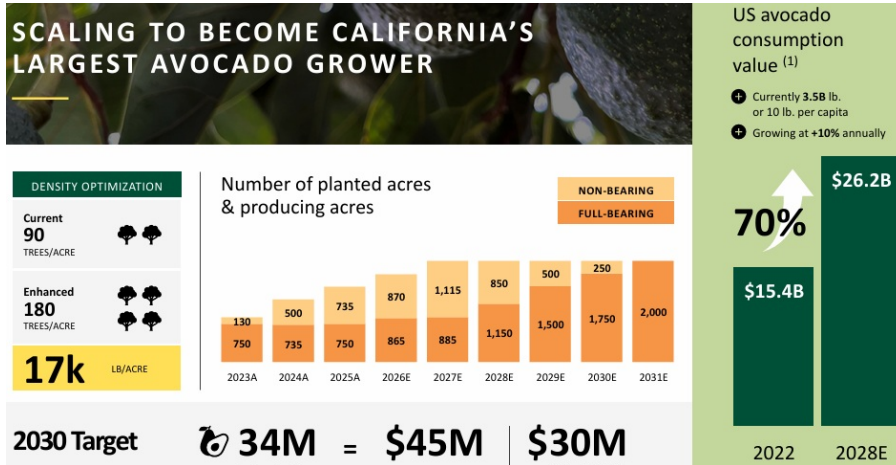
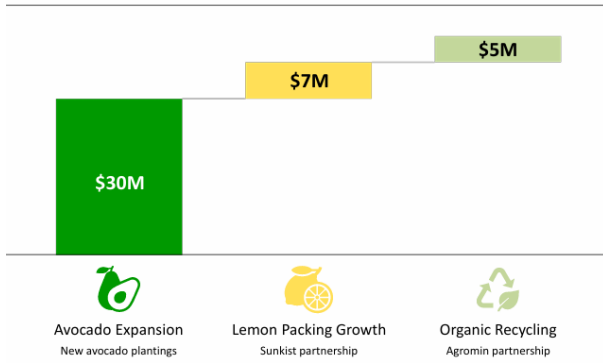
Risk-Reward	3.2x
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Appendix

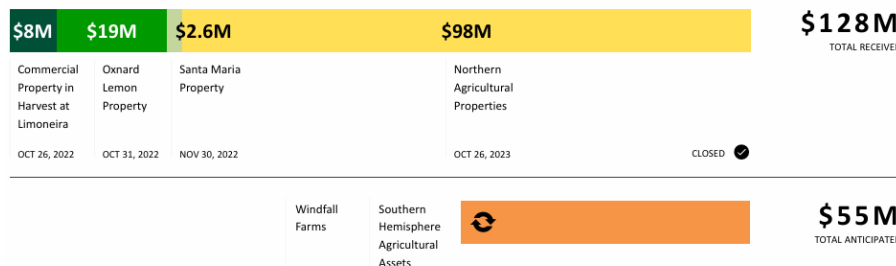
FAIR MARKET VALUE GREATER THAN NET BOOK VALUE

AS OF AUGUST 2025	ACRES	FMV ¹	NET BOOK VALUE
Real estate development assets HARVEST LIMCO DEL MAR	770	\$176M	\$100M
Agricultural assets LAND BUILDINGS ORCHARDS WATER	10,500	\$450M – \$550M	\$162M
Less estimated current net debt		(\$55M)	(\$55M)
NET ASSET VALUE ^{*Pre-tax}		\$571M–\$671M	\$207M
NET ASSET VALUE PER SHARE ^{*Based on 17,715,000 diluted shares outstanding}		\$32.23–\$37.88	\$11.69

EXPECT INCREMENTAL ADJUSTED EBITDA GROWTH OF \$42M BY 2030



LAND MONETIZATION PROGRESS



Identified near-term asset sales **\$183M PIPELINE**

30-YEAR DEVELOPMENT PIPELINE



TOTAL IDENTIFIED VALUE CREATION NEAR AND MEDIUM-TERM
\$460M-\$530M

2017 – 2030
HARVEST AT
LIMONEIRA

PROVEN EXECUTION

Real Estate Entitlement & Development

550 ENTITLED ACRES

TRACK RECORD

 1,261 units closed to date	 Partnerships with national homebuilders LENNAR, KB HOME, etc.	 \$53M received \$155M remaining
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CASH FLOW PROFILE

DOLLARS IN MILLIONS



NEXT PHASE VALUE CREATION

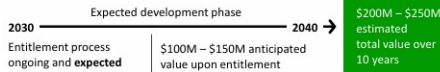
220 ACRES IN ENTITLEMENT PROCESS

LMNR OWNS MAJORITY INTEREST (55%)

PROGRESS TO DATE

 Development intent announced	 Creation of specific plan underway	 Entitlement team assembled
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VALUE CREATION TIMELINE



LONG-TERM LAND BANK

3,000 ACRES OF FUTURE DEVELOPMENT POTENTIAL

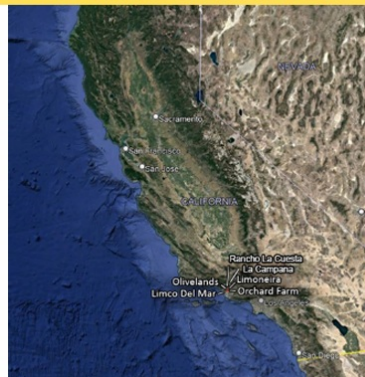
ASSET OVERVIEW

Productive avocado and lemon ranches
with significant water rights



VALUE CREATION HORIZON

 Development timeline 2040+	 Potential value \$3B+ opportunity	 Provides decades of future value creation
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WATER VALUE CREATION OPPORTUNITIES

Yuma, Arizona

Anticipate

Approximately \$50M
of additional monetization **in 2027**

Next following program could potentially be a

25-year deal

that must be in place **by end of 2026** (all 1,300 acres)

Santa Paula Basin

Anticipate

Approximately \$20M
of additional monetization **in 2026**

GROWING AGRICULTURE COUPON

\$42M incremental Adjusted EBITDA growth by 2030

Scaling to California's **largest**
avocado grower
(2,000 acres by 2027)

Strategic partnerships with Agromin and
Sunkist enhancing operational efficiency

TRANSFORMATIVE LAND & WATER VALUE CREATION PIPELINE

\$460-\$530M+ identified near-term value creation through 2040

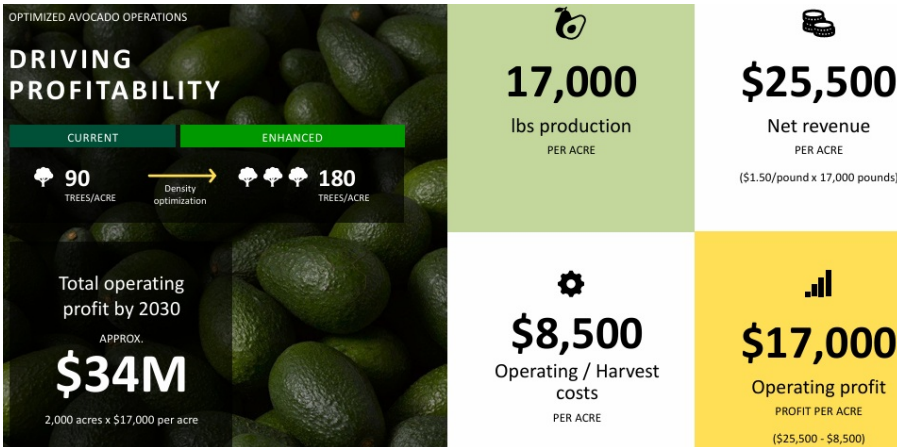
Assets identified
for sale
through 2026

Water value creation
& monetization
through 2027

Harvest at
Limoneira
through 2030

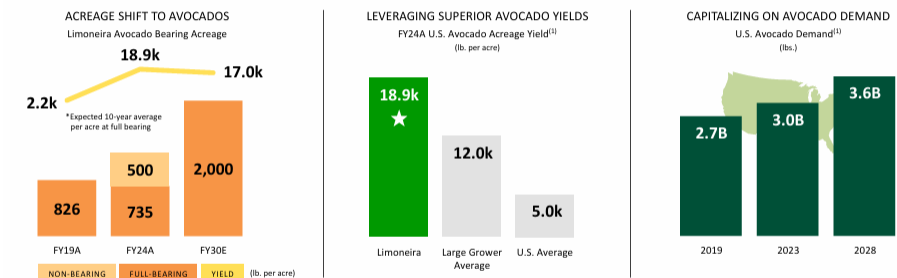
Limco Del Mar
entitlement &
development
2030-2040

\$3B+ potential from 3,000-acre land bank (2040+)



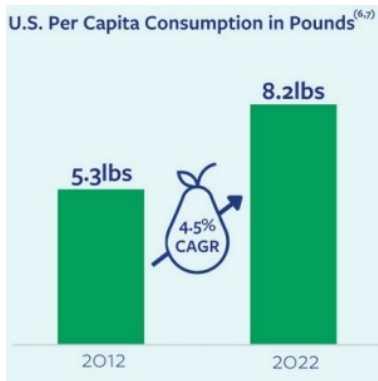
STRATEGIC ACREAGE SHIFT TO EXPAND AVOCADO PRODUCTION

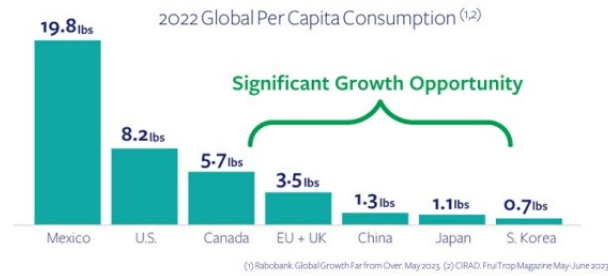
Leverage industry-leading yields and ideal geographic location to capitalize on growing U.S. avocado demand



2030 Target

34M = **\$45M** | **\$34M**
pounds of production revenue operating profit



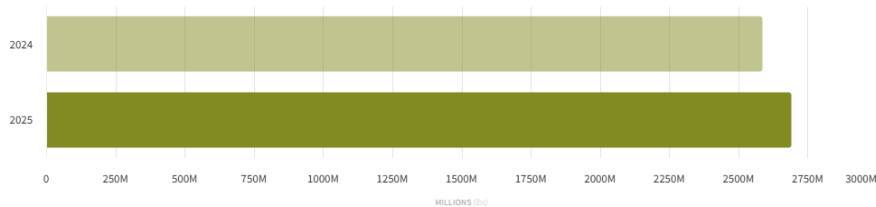


WEEKLY VOLUME SUMMARY

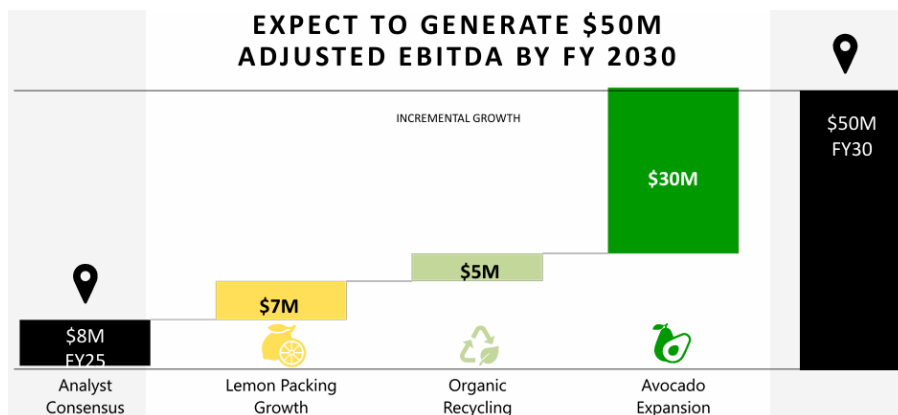
(Volume in Pounds)

	Week Ending 11/02/2025		Season-to-Date since 11/01/2024	
	(CA) Harvest / (Import) Arrivals	Shipped by AMRIC Handlers	(CA) Harvest / (Import) Arrivals	Shipped by AMRIC Handlers
California Detail				
HASS	1,693,763	3,561,869	304,747,234	273,776,011
LAMB	0	51,925	9,958,130	7,636,675
GEM	0	0	6,975,827	7,176,194
OTHER	0	0	682,752	5,263,182
CALIFORNIA TOTAL	1,693,763	3,613,794	322,363,943	293,852,062
INDUSTRY ADJUSTED	1,727,638	3,695,417	328,956,749	301,523,825
Imported Hass Detail				
MEXICO	54,451,211	33,956,377	2,305,706,420	1,241,797,601
PERU	0	46,250	217,983,409	122,268,525
CHILE	595,647	534,340	18,110,700	11,414,660
COLOMBIA	382,273	17,675	136,787,119	41,185,796
NEW ZEALAND	43,126	37,250	418,461	37,250
DOMINICAN	0	157,860	0	5,337,040
IMPORT TOTAL	55,472,257	34,749,752	2,679,006,109	1,422,040,872
Other Detail				
CA EXPORT	0	5,000	0	652,039
CA ORGANIC	0	44,050	0	20,498,179
IMPORTED (Greens)	1,620,606	0	106,654,874	0
FLORIDA	864,930	0	23,925,220	0
GRAND TOTAL	57,957,793	38,445,169	3,138,542,952	1,723,564,697

Year-to-date Volume Comparison **Total U.S.**



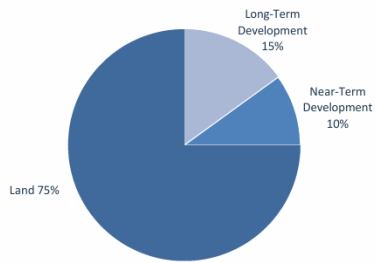
EXPECT TO GENERATE \$50M ADJUSTED EBITDA BY FY 2030



Alico (ALCO) Potential Land Value

Portfolio Value Potential

Total Estimated Value: \$650M - \$750M



Near-Term Development Potential

\$335M - \$380M

~5,500 acres (10%) • Within 5 Years

Long-Term Development Potential

\$140M - \$170M

~7,100 acres (15%) • Beyond 5 Years

Agricultural Land Value

\$175M - \$200M

~37,970 acres (75%) • Ongoing operations

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Incremental asset sales
- Cyclical recovery of agribusiness EBITDA in FY 2026 (lemon prices, avocado volumes)
- Structural agribusiness improvement (increasing avocado acres, Sunkist partnership, third-party lemon volumes)

Messages

Subject	Mgmt competence
Entry	12/15/2025 09:27 AM
Member	DO EM GO

Hi Ignobiliums,

Thanks for the write up. I have been a holder here for over a year and added a bunch on the downdraft over the past month. The biggest issue has turned out to be mgmt. I have spoken to them on numerous occasions and have found the CEO to be clueless and the CFO even worse and basically incompetent. Peter Nolan likely has no choice but to keep this guys because CEO has local roots and he is likely the only way you get Limco Del Mar pushed through Ventura County approval process due to his local connections. They so badly botched avocado "biennial" guidance and had a completely incoherent excuse for why 2026 wont be much better than 2025 as they had said for a year. Something about harvesting too late and so on. Complete nonsense. Lastly, they have told me they would be concluding so many water sales and have basically completed one of immaterial size. The asset value is really high but at some point you need higher quality people IMO to realize it. Curious what your thoughts regarding them are?

Thanks,

DO EM GO

Subject	Re: Mgmt competence
Entry	12/15/2025 10:44 AM
Member	Ignobiliums

Hi DO EM GO, yes, I generally agree with a lot of this. I think the main thing that has gotten me comfortable is the magnitude of the asset value such that it seems like, at ~\$15, the risk is closer to "dead money" than capital loss if they continue to underwhelm. Also think the debt paydown (from the northern properties sale, etc.) and the fact that they walked back the Chilean packing investment gives me incremental comfort they will be more thoughtful re: capital allocation going forward. The avocado guidance doesn't make much sense to me, particularly given the increased # of acres next year. I feel like there could be a similar dynamic to FY24 when they walked up their avocado guide from 7-8M pounds to ~15M pounds over the course of Q2/Q3, but we shall see. Regardless, the ramp in avocado acreage should eventually be accretive as full-bearing acres ramp to ~2K+. Ultimately, I'm treating the position as something that seems to have minimal downside and a handful of NT call options (asset sales, lemon pricing, avocado volumes) with LT upside from the avocado acreage and asset value. The ~\$7M EBITDA improvement from the Sunkist partnership also seems like it should be fairly mechanical and that alone gets me ~60% of the Street's modeled EBITDA growth for FY26. We shall see!

Subject	Strategic review & liquidation costs
Entry	12/26/2025 11:09 AM
Member	cornerstone

Hello - Appreciate the thorough analysis here. I find the potential inflection in earnings compelling. Curious about the NAV-based model, though. What are the tax liabilities and frictional costs of actually unlocking that NAV? Should we be capitalizing those costs as a liability against your theoretical NAV? Also, do you have any sense of why the strategic review didn't end more favorably? Do you have any concerns that hidden issues uncovered by private buyers made the strategic review fail?